

☐ Strongly agree

6. I would invest in a mutual fund based solely on a brief conversation with a friend, coworker, or relative.

☐ Strongly disagree

☐ Disagree

☐ Somewhat agree

☐ Agree

☐ Strongly agree

7. In the first quarter of 2009, some bond investments fell by more than 6 percent. If I owned a “safe” investment that fell by 6 percent over a short period, I would:

☐ sell all of the remaining investment.

☐ sell a portion of the remaining investment.

☐ hold onto the investment and sell nothing.

☐ buy more of the investment.

8. My current and future income sources (for example, salary, Social Security, pension) are:

☐ very unstable.

☐ unstable.

☐ somewhat stable.

☐ stable.

☐ very stable.

The answers to these questions will help you develop a general asset allocation based on your tolerance for risk. However, more work will be required to develop an appropriate portfolio for your needs.

NOTE

¹Olivia S. Mitchell and Stephen P. Utkus, *Lessons from Behavioral Finance for Retirement Plan Design*, Wharton School and Vanguard Center for Retirement Research, November 24, 2003.